

INTERIM CONSOLIDATED FINANCIAL STATEMENTS



Consolidated Condensed Interim Statement of Financial Position

	Note	31 March, 2024 Un-Audited (Rupees in thousand)	30 June, 2023 Audited
EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Authorised capital			
- 950,000,000 (June 30, 2023: 950,000,000)		9,500,000	9,500,000
ordinary shares of Rs 10 each			
- 50,000,000 (June 30, 2023: 50,000,000)		500,000	500,000
preference shares of Rs 10 each		10,000,000	10,000,000
Issued, subscribed and paid up capital			
438,119,118 (2023: 438,119,118)		4,381,191	4,381,191
ordinary shares of Rs 10 each			
Reserves		32,253,314	22,493,832
Un-appropriated profit		40,138,603	37,785,778
Attributable to owners of the parent company		76,773,108	64,660,801
Non-controlling interest		2,828,491	2,482,081
		79,601,599	67,142,882
NON-CURRENT LIABILITIES			
Long term finances - secured	5	14,507,500	9,763,223
Deferred government grant	6	190,143	298,958
Long term deposits		462,556	439,697
Deferred liabilities		950,377	849,514
Deferred taxation		11,278,246	11,306,527
		27,388,822	22,657,919
CURRENT LIABILITIES			
Trade and other payables		13,243,451	14,457,666
Accrued markup		1,495,614	1,857,643
Short term borrowing-secured		20,252,912	27,925,023
Current portion of non-current liabilities		7,181,533	7,897,387
Unclaimed dividend		34,098	34,705
Provision for taxation		465,113	273,046
		42,672,721	52,445,470
CONTINGENCIES AND COMMITMENTS			
	7	149,663,142	142,246,271

The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial information.



Chief Executive

As At March 31, 2024

	Note	31 March, 2024 Un-Audited	30 June, 2023 Audited
(Rupees in thousand)			
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	8	83,671,972	85,600,466
Intangible asset		49,344	10,153
Biological assets		1,125,121	1,150,612
Investments		14,084,222	11,474,189
Long term deposits		67,278	64,426
		98,997,937	98,299,846
CURRENT ASSETS			
Stores, spares and loose tools		12,636,214	14,126,139
Stock-in-trade		14,292,005	11,237,446
Trade debts		1,558,583	1,222,551
Investments		16,475,739	9,283,913
Advances, deposits, prepayments and other receivables		1,365,805	1,689,054
Contract assets		34,692	79,530
Income tax recoverable		2,149,642	4,935,294
Cash and bank balances		1,979,887	1,199,860
		50,492,567	43,773,787
Non-current assets classified as held for sale		172,638	172,638
		50,665,205	43,946,425
		149,663,142	142,246,271

Chief Financial Officer

Director

Consolidated Condensed Interim Statement of Profit or Loss

For the Quarter and Nine Month Period Ended March 31, 2024 (Un-audited)

	2024		2023	
	July to March	January to March	July to March	January to March
	(Rupees in thousand)		(Rupees in thousand)	
Sales	53,509,872	16,129,292	52,225,418	19,656,612
Cost of sales	(43,428,196)	(12,115,970)	(43,686,132)	(15,856,366)
Gross profit	10,081,676	4,013,322	8,539,286	3,800,246
Administrative expenses	(1,006,955)	(360,594)	(771,794)	(269,147)
Selling and distribution expenses	(1,619,542)	(415,659)	(1,051,610)	(540,406)
Other expenses	(6,419)	(59,089)	(323,870)	(159,589)
Changes in fair value of biological assets	262,681	55,394	251,333	49,042
Other income	3,152,051	1,067,157	2,181,994	788,413
Finance cost	(6,502,042)	(2,070,028)	(5,199,584)	(1,807,691)
Profit/(loss) before taxation	4,361,450	2,230,503	3,625,755	1,860,868
Taxation	(1,736,424)	(846,020)	(1,111,198)	(601,263)
Profit/(loss) for the period	2,625,026	1,384,483	2,514,557	1,259,605
Attributable to:				
Equity holders of the parent	2,352,825	1,279,600	2,297,409	1,215,375
Non-controlling interest	272,201	104,883	217,148	44,230
	2,625,026	1,384,483	2,514,557	1,259,605
Earnings/(loss) per share				
(basic and diluted - in Rupees)	5.37	2.92	5.24	2.77

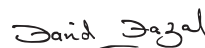
The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial information.



Chief Executive



Chief Financial Officer



Director

Consolidated Condensed Interim Statement of Comprehensive Income

For the Quarter and Nine Month Period Ended March 31, 2024 (Un-audited)

	2024		2023	
	July to March	January to March	July to March	January to March
	(Rupees in thousand)		(Rupees in thousand)	
Profit/(loss) for the period	2,625,026	1,384,483	2,514,557	1,259,605
Other comprehensive income / (loss) for the period				
Items that may be re-classified subsequently to profit or loss:	-	-	-	-
Items that will not be subsequently re-classified to profit or loss:				
Change in fair value of investments at fair value through other comprehensive income (OCI)- net of tax	9,943,691	2,941,189	(679,059)	(245,294)
Other comprehensive income / (loss) for the period	9,943,691	2,941,189	(679,059)	(245,294)
Total comprehensive income for the period	12,568,717	4,325,672	1,835,498	1,014,311
Attributable to				
Equity holders of parent	12,112,307	4,157,077	1,624,317	972,488
Non-controlling interest	456,410	168,595	211,181	41,823
	12,568,717	4,325,672	1,835,498	1,014,311

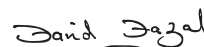
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Chief Executive



Chief Financial Officer



Director

Consolidated Condensed Interim Statement of Changes In Equity

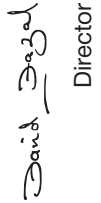
For the Nine Month Period Ended March 31, 2024 (Un-audited)

	(Rupees in thousands)							
	Capital reserve			Revenue reserve		Total equity attributable to shareholders of parent company	Non-controlling interest	Total equity
Share capital	Share premium	FVOCI reserve	Capital redemption reserve fund	General reserve	Un-appropriated profits			
Balance as at June 30, 2022 - Audited	4,381,191	4,557,163	14,131,957	353,510	5,110,851	41,759,427	2,349,613	72,643,712
Total comprehensive income for the period								
- Profit for the period	-	-	-	-	-	2,297,409	217,148	2,514,557
- Other comprehensive income for the period								
- Changes in fair value of investments at fair value through OCI - net of tax	-	-	(673,092)	-	-	-	(5,967)	(679,059)
	-	-	(673,092)	-	-	2,297,409	211,181	1,835,498
Transactions with owners in their capacity as owners recognised directly in equity								
Final dividend for the year ended June 30, 2022	-	-	-	-	-	(438,119)	(20,942)	(459,061)
Balance as at March 31, 2023- Unaudited	4,381,191	4,557,163	13,458,865	353,510	5,110,851	43,618,717	2,539,852	74,020,149
Balance as at June 30, 2023 - Audited								
Total comprehensive income for the period								
- Profit for the period	-	-	-	-	-	2,352,825	272,201	2,625,026
- Other comprehensive income for the period								
- Changes in fair value of investments at fair value through OCI - net of tax	-	-	9,759,482	-	-	-	184,209	9,943,691
	-	-	9,759,482	-	-	2,352,825	456,410	12,568,717
Total contributions by and distributions to owners of the Company recognised directly in equity							(110,000)	(110,000)
Balance as at March 31, 2024 - Unaudited	4,381,191	4,557,163	22,231,790	353,510	5,110,851	40,138,603	2,828,491	79,601,599

The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial information.


Chief Executive


Chief Financial Officer


Director

Consolidated Condensed Interim Statement of Cash Flows

For the Nine Month Period Ended March 31, 2024 (Un-audited)

	Note	2024 July to March (Rupees in thousand)	2023 July to March
Cash flows from operating activities			
Cash generated from operations	10	8,417,244	12,722,543
Finance cost paid		(6,864,071)	(4,862,018)
Retirement and other benefits paid		(258,306)	(218,972)
Net income tax refunds/(paid)		1,356,854	(845,207)
Long term deposits - net		22,859	58,032
Net cash inflow from operating activities		2,674,580	6,854,378
Cash flows from investing activities			
Payments for property, plant and equipment and Intangibles		(1,300,749)	(2,418,277)
Long term loans, advances and deposits - net		(2,852)	(300)
Proceeds from disposal of property, plant and equipment		85,622	14,439
Purchase of biological assets		(11,600)	-
Proceeds from sale of biological assets		439,211	192,926
Investments made		(10,000)	(1,361,080)
Dividend received		2,768,927	1,828,293
Net cash outflow from investing activities		1,968,559	(1,743,999)
Cash flows from financing activities			
Repayment of long term finances		(5,240,579)	(5,044,480)
Buy back of shares from non-controlling interest		(110,000)	-
Repayment of loan to related party		-	(90,000)
Dividend paid		(607)	(459,041)
Proceeds from long term finances		9,160,185	2,026,448
Net cash inflow/(outflow) from financing activities		3,808,999	(3,567,073)
Net decrease in cash and cash equivalents		8,452,138	1,543,306
Cash and cash equivalents at the beginning of the year		(26,725,163)	(25,735,036)
Cash and cash equivalents at the end of period	11	(18,273,025)	(24,191,730)

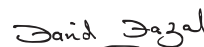
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Chief Executive



Chief Financial Officer



Director

Notes to and Forming Part of the Condensed Interim Consolidated Financial

For the Nine Month Period Ended March 31, 2024 (Un-audited)

1. Legal Status and nature of business

The group comprises of:

- D. G. Khan Cement Company Limited (the parent company);
- Nishat Paper Products Company Limited;
- Nishat Dairy (Private) Limited; and

The parent company is a public limited company incorporated in Pakistan and is listed on Pakistan Stock Exchange. It is principally engaged in production and sale of Clinker, Ordinary Portland and Sulphate Resistant Cement. The registered office of the Company is situated at 53-A Lawrence Road, Lahore. The Company is principally engaged in production and sale of Clinker, Ordinary Portland and Sulphate Resistant Cement. It has four cement plants, two plants located at Dera Ghazi Khan ('D.G. Khan'), one at Khairpur District, Chakwal ('Khairpur') and one at Hub District, Lasbela ('Hub').

Nishat Paper Products Company Limited is a public limited company incorporated in Pakistan under the Companies Ordinance, 1984 on July 23, 2004. It is principally engaged in the manufacture and sale of paper products and packaging material.

Nishat Dairy (private) Limited was incorporated in Pakistan under the Companies Ordinance 1984 on October 28, 2011. The principally activity of the company is to carry on the business of production of raw milk.

The registered office of the Group is situated at 53-A, Lawrence Road, Lahore. The parent company's holding in its subsidiaries is as follows:

	Effective percentage of holding
- Nishat Paper Products Company Limited	55%
- Nishat Dairy (Private) Limited	55.10%

2. Basis of preparation

2.1 Statement of compliance

These consolidated condensed interim financial statements have been prepared in accordance with the accounting and reporting standards as applicable in Pakistan for interim financial reporting. The accounting and reporting standards as applicable in Pakistan for interim financial reporting comprise of:

- International Accounting Standard (IAS) 34, Interim Financial Reporting, issued by the International Accounting Standards Board (IASB) as notified under the Companies Act, 2017; and
- Provisions of and directives issued under the Companies Act, 2017.

Where the provisions of and directives issued under the Companies Act, 2017 differ with the requirements of IAS 34, the provisions of and directives issued under the Companies Act, 2017 have been followed.

- 2.2** These consolidated condensed interim financial statements are un-audited and are being submitted to the members as required by section 237 of the Companies Act, 2017 (the 'Act').

These consolidated condensed interim financial statements do not include all of the information required for annual financial statements and should be read in conjunction with the annual financial statements as at and for the year ended June 30, 2023. Selected explanatory notes are included to explain events and transactions that are significant to and understanding of the changes in the Group's financial position and performance since the last annual financial statements.

3. Significant accounting policies

3.1 The accounting policies and the methods of computation adopted in the preparation of these consolidated condensed interim financial statements are the same as those applied in the preparation of preceding annual published financial statements of the Group for the year ended June 30, 2023 except for adoption of new and amended standards as set out in note 3.2 and 3.3.

3.2 Standards, amendments and interpretations to International Financial Reporting Standards (IFRS) that are effective in the current period

Certain standards, amendments and interpretations to International Financial Reporting Standards (IFRS) are effective for accounting periods beginning on July 1, 2022, but are considered not to be relevant or to have any significant effect on the Group's operations (although they may affect the accounting for future transactions and events) and are, therefore, not detailed in these consolidated condensed interim financial statements.

3.3 Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group

There are certain standards, amendments to the accounting standards and interpretations that are mandatory for the Group's accounting periods beginning on or after July 01, 2023 but are considered not to be relevant or to have any significant effect on the Group's operations and are, therefore, not detailed in these consolidated condensed interim financial statements.

4. Accounting estimates

The preparation of these consolidated condensed interim financial statements requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates.

In preparing these consolidated condensed interim financial statements, the significant judgments made by management in applying accounting policies and key sources of estimation were the same as those that were applied to the annual financial statements of the Group for the year ended June 30, 2023, with the exception of change in estimate that is required in determining the provision for income taxes as referred to in note 4.1.

4.1 Taxation

Income tax expense is recognized in each interim period based on best estimate of the weighted average annual income tax rate expected for the full financial year. Amounts accrued for income tax expense in one interim period may have to be adjusted in a subsequent interim period of that financial year if the estimate of the annual income tax rate changes.

March 31, 2024	June 30, 2023
Un-audited	audited
(Rupees in thousand)	

5. Long term finances

Long term loans	- note 5.1	21,491,446	17,437,036
Current portion shown under current liabilities		(6,983,946)	(7,673,813)
		14,507,500	9,763,223

5.1 The reconciliation of the carrying amount is as follows:

March 31, 2024	June 30, 2023
Un-audited	audited
(Rupees in thousand)	

Opening balance	17,907,641	22,553,671
Disbursements during the period	9,160,185	2,038,739
Repayment during the period	(5,240,579)	(6,684,769)
	21,827,247	17,907,641
Unamortized liability	(335,801)	(470,605)
Closing balance	21,491,446	17,437,036

5.1.1 The reconciliation of the carrying amount of unamortized liability is as follows:

March 31, 2024	June 30, 2023
Un-audited	audited
(Rupees in thousand)	

Opening balance	(470,605)	(692,093)
Unwinding of discount on liability	134,804	221,488
Closing balance	(335,801)	(470,605)

6. Deferred income - Government grant

This represents deferred grant recognized in respect of the benefit of below-market interest rate on the facilities availed under State Bank of Pakistan's (SBP) Refinance Scheme for Payment of Wages and Salaries to the Workers and Employees of Business Concerns ('Refinance Scheme'). The benefit has been measured as the difference between the fair value of the loan and the proceeds received. The Group used the prevailing market rate of mark-up at the date of disbursement for similar instruments to calculate fair values of respective loans.

7. Contingencies and commitments

7.1 Contingencies

There is a significant change in contingencies from the preceding annual financial statements of the Group for the year ended June 30, 2023. The banks have issued the following guarantees on Group's behalf in favor of:

- (i) Director, Excise Collection Office, Sindh Development and Maintenance against recovery of infrastructure fee amounting to Rs 1,377.9 million (June 2023: Rs. 1177.9 million).
- (ii) General mines and mineral for mining amounting to Rs. 128.507 million (June 2023: Nil)
- (iii) Letter of guarantee of Rs 30 million (2023: Rs 26 million) in favour of Director, Excise and Taxation, Karachi under direction of Sindh High Court in respect of suit filed for levy of infrastructure cess;

7.1.1 The Group has provided a guarantee to Meezan Bank Limited (MBL) against the loan provided by MBL to Hyundai Nishat Motor (Private) Limited, a related party, amounting to Rs. 1,149.328 million (June 2023: Rs. 1,238.471 million).

7.2 Commitments in respect of:

- (i) Contracts for capital expenditure Rs 840.00 million (June 30, 2023: Rs 520.310 million).
- (ii) Letters of credit for capital expenditure Rs 1,799.90 million (June 30, 2023: Rs 93.980 million).
- (iii) Letters of credit other than capital expenditure Rs 4,681.71 million (June 30, 2023: 1,246.104 million).

March 31, 2024	June 30, 2023
Un-audited	audited
(Rupees in thousand)	

8. Property, plant and equipment

Operating Assets	-note 8.1	82,354,337	83,234,634
Capital work-in-progress	-note 8.2	1,021,885	2,166,286
Major spare parts and stand-by equipment		295,750	199,546
		<u>83,671,972</u>	<u>85,600,466</u>

		March 31, 2024 Un-audited (Rupees in thousand)	June 30, 2023 audited
8.1 Operating assets			
Opening book value		83,234,634	85,392,522
Add: Additions during the period/ year	-note 8.1.1	2,297,695	2,236,084
		85,532,329	87,628,606
Less: Disposals during the period/ year - net book value		132,072	42,663
Re-classification to assets held for sale		-	172,638
Depreciation charged during the period/ year		3,045,920	4,178,671
		3,177,992	4,393,972
Closing book value		82,354,337	83,234,634
8.1.1 Major additions during the period			
Free hold land		54,198	201,438
Building on freehold land		146,835	65,003
Office building		17,476	58,452
Roads		185	2,630
Plant and machinery		1,576,794	1,487,306
Quarry and other equipment		-	158,091
Furniture, fixtures and equipment		70,969	62,249
Motor vehicles		143,118	180,038
Power and water supply lines		288,120	20,877
		2,297,695	2,236,084
8.2 Capital work-in-progress			
Civil works		556,600	776,270
Plant and machinery		325,728	1,252,075
Advances to suppliers and contractors		53,577	91,594
Others		85,980	46,347
		1,021,885	2,166,286

9. Transactions with related parties

The related parties include related parties on the basis of common directorship, group companies, key management personnel including directors and post employment benefit plans. Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the company, directly or indirectly, including any director (whether executive or otherwise) of that company. The Group in the normal course of business carries out transactions with various related parties. Significant transactions with related parties are as follows:

		July to March	
		2024	2023
		Un-audited	Un-audited
		(Rupees in thousand)	
Relationship with the Group	Nature of transaction		
Other related parties	Purchase of goods and services	473,366	192,623
	Insurance premium	254,757	224,908
	Sale of goods	184,591	289,332
	Insurance claims received	27,233	4,346
	Rental Income	1,530	1,499
	Reimbursement of expenses	66,414	-
	Purchase of shares	-	1,007,500
	Dividends paid	-	174,818
	Dividend income	2,758,567	1,870,634
Key Management personnel	Salaries and other employment benefits	246,212	195,951
	Dividend paid	-	39,943
Post employment benefit plans	Expense charged in respect of staff retirement benefits plans	359,169	293,481

All transactions with related parties have been carried out on commercial terms and conditions.

July to March

2024	2023
Un-audited	Un-audited
(Rupees in thousand)	

10. Cash flow from operating activities

Profit/(loss) before tax	4,361,450	3,625,755
Adjustment for :		
- Depreciation on property, plant and equipment	3,045,920	3,129,213
- Amortization of intangible assets	12,060	5,374
- Loss/(Gain) on disposal of operating fixed assets	46,451	(1,785)
- Net loss on disposal of biological assets	(139,439)	9,152
- Gain on changes in fair value biological asset	(262,681)	(251,333)
- (Gain)/loss on changes in fair value of investment through P&L	(7)	4
- Dividend income	(2,768,927)	(1,829,933)
- Gain on initial recognition of ordinary investment under scheme of merger	-	(102,409)
- Retirement and other benefits accrued	359,169	293,481
- Exchange (gain) / loss - net	(109,835)	210,853
- Finance cost	6,502,042	5,199,584
Profit/(loss) before working capital changes	11,046,203	10,287,956

Working capital changes

- (Increase)/decrease in stores, spares and loose tools	1,489,925	6,125,328
- (Increase)/decrease in stock-in-trade	(3,054,559)	(4,002,403)
- (Increase)/decrease in trade debts	(336,032)	280,243
- (Increase)/decrease in contract assets	44,838	(41,379)
- Decrease in advances, deposits, prepayments and other receivables	331,249	(407,179)
- Increase/(decrease) in trade and other payables	(1,104,380)	479,977

Net working capital changes

(2,628,959)	2,434,587
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Cash (used in)/ generated from operations

8,417,244	12,722,543
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11. Cash and cash equivalents

Short term borrowings - secured	(20,252,912)	(24,813,882)
Cash and bank balances	1,979,887	622,152
Total cash and cash equivalents	(18,273,025)	(24,191,730)

12. Financial risk management**12.1 Financial risk factors**

The Group's activities expose it to a variety of financial risks: market risk (including currency risk, interest rate risk, and other price risk), credit risk and liquidity risk.

The consolidated condensed interim financial information does not include all financial risk management information and disclosures required in the annual financial statements, and should be read in conjunction with the group's annual financial statements as at June 30, 2023.

There have been no changes in the risk management department or in any risk management policies since the year ended June 30, 2023.

12.2 Fair value estimation

a) Fair value hierarchy

The different levels for fair value estimation used by the Group have been defined as follows:

- The fair value of financial instruments traded in active markets (such as publicly traded equity securities) is based on quoted (unadjusted) market prices at the end of the reporting period. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in Level 1.
- The fair value of financial instruments that are not traded in an active market (for example over-the-counter derivatives) is determined using valuation techniques which maximize the use of observable market data and rely as little as possible on entity specific estimates. If all significant inputs required to determine fair value of an instrument are observable, the instrument is included in Level 2.
- If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3. This is the case for unlisted equity instruments.

To provide an indication about the reliability of the inputs used in determining fair value, the Group classifies its financial instruments into the three levels prescribed above. The following table presents the Group's financial assets measured and recognised at fair value at March 31, 2024 on a recurring basis:

	Level 1	Level 2	Level 3	Total
As at March 31, 2024	(Rupees in thousand)			
Recurring fair value measurements				
Assets				
Investments - FVOCI	25,141,404	-	5,403,535	30,544,939
Investments - FVPL	15,022	-	-	15,022
Biological assets			1,125,121	1,125,121
As at June 30, 2023				
Assets				
Investments - FVOCI	14,902,201	-	5,842,886	20,745,087
Investments - FVPL	15	-	-	15
Biological assets			1,150,612	1,150,612

The Group's policy is to recognise transfers into and transfers out of fair value hierarchy levels as at the end of the reporting period.

There were no transfers between Level 1, 2 and 3 during the period. There were no changes in valuation techniques during the period.

The Group did not measure any financial assets or financial liabilities at fair value on a non-recurring basis as at March 31, 2024.

b) Valuation techniques used to determine fair values

Specific valuation techniques used to value financial instruments include:

- the use of quoted market prices or dealer quotes for similar instruments; and
- for other financial instruments - discounted cash flow analysis.

c) Fair value measurements using significant unobservable inputs

The main level 3 inputs used by the Company to determine fair value of investment in Nishat Hotels and Properties Limited ('NHPL') and Hyundai Nishat Motor (Private) Limited ('HNMPL') are derived and evaluated as follows.

- Discount rate is determined using a capital asset pricing model to calculate a pre-tax rate that reflects current market assessments of the time value of money and the risk specific to NHPL and HNMPL.
- Long term growth rate is estimated based on historical performance of NHPL and HNMPL and current market information for similar type of entities.

The significant assumptions used in this valuation technique for NHPL are as follows:

- Discount rate of 16.68% per annum.
- Long term growth rate of 2% per annum for computation of terminal value.
- Annual growth in costs is linked to inflation with a range of 6.50% to 25.60% per annum.

The significant assumptions used in this valuation technique for HNMPL are as follows:

- Discount rate of 24.14% per annum.
- Long term growth rate of 2% per annum for computation of terminal value.
- Annual growth in costs is linked to inflation with a range of 6.17% to 11.74% per annum.

Sensitivity analysis

Sensitivity analysis of the significant assumptions used in the valuation technique are as follows:

If the discount rate increases by 1% with all other variables held constant, the impact on fair value as at March 31, 2024 would be Rs 209.375 million and Rs 204.5 million lower for NHPL and HNMPPL respectively.

If the long term growth rate decreases by 1% with all other variables held constant, the impact on fair value as at March 31, 2024 would be Rs 71.875 million and Rs 87 million lower for NHPL and HNMPPL respectively.

If inflation decreases by 1% with all other variables held constant, the impact on fair value as at March 31, 2024 would be Rs Rs 21.875 million and Rs 78 million higher for NHPL and higher for HNMPPL respectively.

If interest rate increases by 1% with all other variables held constant, the impact on fair value as at March 31, 2024 would be Rs 15.625 million and Rs 82.1 million lower for NHPL and lower for HNMPPL respectively.

13. Operating segments

Segment information is presented in respect of the group's business. The primary format, business segment, is based on the group's management reporting structure.

The group's operations comprise of the following main business segment types:

Type of segments Nature of business

Cement	Production and sale of clinker, Ordinary Portland and Sulphate Resistant Cements.
Paper	Manufacture and supply of paper products and packing material.
Dairy	Production and sale of raw milk.

13.1 Segment analysis and reconciliation - condensed

The information by operating segment is based on internal reporting to the Group executive committee, identified as the 'Chief Operating Decision Maker' as defined by IFRS 8. This information is prepared under the IFRS's applicable to the consolidated financial statements. All group financial data are assigned to the operating segments.

July 1 to March 31

Rupees in thousands	Cement		Paper		Dairy/Farm		Elimination - net		Consolidated	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
Revenue from										
- External Customers	49,049,830	48,043,085	228,355	579,286	4,231,687	3,603,047	-	-	53,509,872	52,225,418
- Inter-group	992	271	1,756,271	1,968,540	-	-	(1,757,263)	(1,968,811)	-	-
	49,050,822	48,043,356	1,984,626	2,547,826	4,231,687	3,603,047	(1,757,263)	(1,968,811)	53,509,872	52,225,418
Segment gross profit/(loss)	9,187,056	7,737,474	196,346	378,813	721,745	494,954	(23,471)	(71,955)	10,081,676	8,539,286
Segment expenses	(2,627,555)	(1,852,827)	(38,766)	(193,238)	33,405	(101,209)	-	-	(2,632,916)	(2,147,274)
Changes in fair value of biological assets	-	-	-	-	262,681	251,333	-	-	262,681	251,333
Other income	3,176,593	2,148,679	114,416	44,574	42,961	15,061	(181,919)	(26,320)	3,152,051	2,181,994
Financial charges	(6,072,783)	(4,876,483)	(415,847)	(310,177)	(13,412)	(12,924)	-	-	(6,502,042)	(5,199,584)
Taxation	(1,428,691)	(1,044,699)	57,208	29,087	(364,941)	(95,586)	-	-	(1,736,424)	(1,111,198)
Profit/(loss) after taxation	2,234,620	2,112,144	(86,643)	(50,941)	682,439	551,629	(205,390)	(98,275)	2,625,026	2,514,557
Depreciation	2,858,678	2,945,094	45,512	45,915	120,987	117,461	20,743	20,743	3,045,920	3,129,213
Capital expenditure	(1,265,735)	(2,322,761)	(17,695)	(49,078)	(17,319)	(46,438)	-	-	(1,300,749)	(2,418,277)
Net cash (outflow) / inflow from operating activities	2,162,905	7,421,638	763,471	(528,495)	36,582	(51,243)	(288,378)	8,318	2,674,580	6,850,218
Net cash outflow from investing activities	1,617,697	(1,503,519)	84,034	(360,663)	411,591	148,149	(144,763)	(23,806)	1,968,559	(1,739,839)
Rupees in thousands	31.03.2024	30.06.2023	31.03.2024	30.06.2024	31.03.2024	30.06.2023	31.03.2024	30.06.2023	31.03.2024	30.06.2023
	unaudited	audited	unaudited	audited	unaudited	audited	unaudited	audited	unaudited	audited
Segment assets	142,367,484	134,713,254	5,152,994	5,597,511	4,967,275	4,920,139	(2,824,611)	(2,984,633)	149,663,142	142,246,271
Segment liabilities	66,406,252	70,520,977	2,861,797	3,629,026	1,377,565	1,767,868	(584,071)	(814,482)	70,061,543	75,103,389

13.2 Geographical segments

All segments of the group are managed on nation-wide basis and operate manufacturing facilities and sales offices in Pakistan only.

14. Date of authorization

This interim financial information was authorized for issue by the Board of Directors of the Group on April 19, 2024.

15. Corresponding figures

In order to comply with the requirements of the International Accounting Standard 34: 'Interim Financial Reporting', the condensed interim consolidated balance sheet and condensed interim consolidated statement of changes in equity have been compared with the balances of annual audited financial statements of preceding year, whereas, the condensed interim consolidated profit and loss account, condensed interim consolidated statement of comprehensive income and condensed interim consolidated cash flow statement have been compared with the balances of comparable period of immediately preceding year.



Chief Executive



Chief Financial Officer



Director

Notes

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